

FEDERAL MARITIME COMMISSION

DOCKET NO. 16-12

**PRO TRANSPORT, INC., PRO TRANSPORT JACKSONVILLE, INC.,
PRO TRANSPORT SAVANNAH, INC., and PRO TRANSPORT CHARLESTON, INC.**

v.

SEABOARD MARINE OF FLORIDA, INC. and SEABOARD MARINE LTD., INC.

INITIAL DECISION GRANTING MOTION TO DISMISS¹

I. Introduction

A. Summary

A motion to dismiss and memorandum in support of the motion were filed by Respondents, Seaboard Marine of Florida, Inc., and Seaboard Marine Ltd., Inc. (collectively "Seaboard") on September 16, 2016. A memorandum in opposition to the motion to dismiss was filed by Complainants Pro Transport, Inc., Pro Transport Jacksonville, Inc., Pro Transport Savannah, Inc., and Pro Transport Charleston, Inc. (collectively "Pro Transport") on September 29, 2016. Respondents filed a reply to Complainants' opposition to the motion to dismiss on October 5, 2016. The proceeding was subsequently transferred to the undersigned.

Pro Transport provided domestic trucking services to Seaboard, "transport[ing] intermodal containers from Seaboard's marine terminal at the Port of Miami, and other Seaboard or Seaboard affiliated terminals at or near the Port of Jacksonville, Port of Savannah, and Port of Charleston, to various destinations." Amended complaint at 3. Pro Transport alleges that Seaboard violated the Shipping Act of 1984 ("Shipping Act") by unreasonably discriminating; imposing undue or unreasonable prejudice or disadvantage; unreasonably refusing to deal; and engaging in unfair or

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

unjustly discriminatory practices. Amended complaint at 2, alleging violations of 46 U.S.C. §§ 41106(1), 41106(2), 41106(3), 41104(5), 41104(9), 41104(10).

Seaboard moves to dismiss the proceeding, arguing that Pro Transport failed to allege facts sufficient to establish subject matter jurisdiction and the Federal Maritime Commission (“FMC” or “Commission”) lacks jurisdiction over the conduct at issue. Motion at 2-5. Seaboard also asserts that the amended complaint must be dismissed for failure to state a claim upon which relief may be granted. Motion at 6-10. Seaboard reserves the right to challenge the sufficiency of the amended complaint as to each of the two separate Seaboard entities. Motion at 9 n.6.

Pro Transport opposes the motion to dismiss, asserting that it is involved in the type of international ocean commerce the FMC regulates and that it has sufficiently pled its allegations so as to withstand the motion. Opposition at 2-13. The amended complaint attaches five invoices which Pro Transport claims are examples of the 128 invoices at issue which show that Pro Transport transported containers that Seaboard was shipping to overseas destinations. Opposition at 3-4. Pro Transport argues that whether or not it was a common carrier does not alter the outcome. Opposition at 7, 8 n.11.

Pro Transport requested an oral argument on Seaboard’s motion. Having reviewed the briefs and filings submitted by the parties, additional argument by counsel is not required. Accordingly, the request for oral argument is hereby denied.

For the reasons set forth below, Seaboard’s motion to dismiss is granted for both lack of subject matter jurisdiction and for failure to state a claim. Although the disputed shipments were part of through international transportation, the agreement between Pro Transport and Seaboard to provide domestic trucking services is outside the jurisdiction of the Commission. In addition, Pro Transport withdraws three allegations and the remaining three allegations are dismissed for failure to state a claim.

B. Regulatory Framework

Rule 12 of the Commission’s Rules of Practice and Procedure (“Rules”) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission’s Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case. *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 54 (FMC 2015); *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011).

The Shipping Act defines and regulates a number of different types of entities relevant to this proceeding.

(6) Common Carrier.— The term “common carrier” –

(A) means a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

(14) Marine Terminal Operator.— The term “marine terminal operator” means a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49.

(17) Ocean Common Carrier.— The term “ocean common carrier” means a vessel-operating common carrier.

46 U.S.C. §§ 40102(6)(A), 40102(14), 40102(17). The statutory definitions are echoed in the Commission’s regulations. *See* 46 C.F.R. § 515.2(f) (common carrier); 46 C.F.R. § 515.2(m) (ocean common carrier).

Pro Transport alleges three violations of two Shipping Act sections. The first states:

A marine terminal operator may not –

- (1) agree with another marine terminal operator or with a common carrier to boycott, or unreasonably discriminate in the provision of terminal services to, a common carrier or ocean tramp;
- (2) give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person; or
- (3) unreasonably refuse to deal or negotiate.

46 U.S.C. §§ 41106(1), 41106(2), 41106(3). The second states:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not –

(5) for service pursuant to a service contract, engage in any unfair or unjustly discriminatory practice in the matter of rates or charges with respect to any port;

(9) for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port;

(10) unreasonably refuse to deal or negotiate.

46 U.S.C. §§ 41104(5), 41104(9), 41104(10). The motion to dismiss for lack of subject matter is discussed first, followed by discussion of the motion to dismiss for failure to state a claim.

II. Motion to Dismiss for Lack of Subject Matter Jurisdiction

A. Background

On July 13, 2016, Respondents filed a motion seeking to indefinitely stay this proceeding. On August 16, 2016, an order denying Respondents' motion for stay and order to file amended complaint was issued which, in part, required Pro Transport to file an amended complaint ("stay/amend order"). The stay/amend order instructed Pro Transport to explain whether it alleged that Seaboard acted as an ocean common carrier, a marine terminal operator, and/or as an agent for an ocean common carrier subject to the Shipping Act. The order further stated in relevant part that "Complainants are ordered to file an amended complaint containing a clear and concise factual statement sufficient to inform each Respondent and the Commission with reasonable definiteness of the acts or practices alleged to be in violation of the law, and a statement showing that Complainant is entitled to relief." Stay/amend order at 4-5. Pro Transport timely filed the amended complaint. Seaboard timely filed a motion to dismiss.

B. Standard

"It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission." *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 29 S.R.R. 394, 396 (ALJ 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). "It is also elemental that parties, such as complainants in the instant case, who invoke the jurisdiction of a tribunal such as the Commission, have the burden of showing that jurisdiction lies." *Crowley Liner Services*, 29 S.R.R. at 396 (citing *River Parishes*, 28 S.R.R. at 201 (ALJ 1998), affirmed 28 S.R.R. 751 (FMC

1999)); *AHL Shipping Co. v. Kinder Morgan Liquids Terminals, LLC*, 30 S.R.R. 520, 521 (ALJ 2004).

“The Commission ‘is not a court, and cannot rely . . . on the powers of a court of equity. On the contrary, the law is settled that an administrative agency can exercise only those powers conferred on it by Congress.’” *Trans-Pacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962). The Commission has jurisdiction over matters relating to “transportation by water of . . . cargo between the United States and a foreign country” by a common carrier as defined by the Shipping Act. 46 U.S.C. § 40102(6).

In *American Union Transport v. Italian Line*, 2 U.S.M.C. 553, 556-57 (FMC 1941), the Commission dismissed for lack of subject matter jurisdiction a complaint by a broker alleging a carrier had deprived it of earnings in connection with services performed for the carrier and had adversely affected its reputation as a broker by refusing to deal with it, holding that sections 14, 16, and 17 of the 1916 Act were not applicable to complainant, whose only interest in the transportation involved was the compensation it expected to receive from the carrier in return for supplying cargo for its vessels. *American Union Transport*, 2 U.S.M.C. at 556-57.

In *Sea-Land Dominica, S.A. v. Sea-Land Service, Inc.*, 26 S.R.R. 578, 584 (FMC 1992), the Commission dismissed a complaint against a carrier by its sales representatives for lack of subject matter jurisdiction, stating:

While it is true, as Complainants assert, that the 1984 Act contains broad language permitting “any person” to file a complaint with us and protecting “any person” against unlawful prejudice and disadvantage and the effects of unlawful preference and advantage, such broad general language cannot be read in the abstract, but must be restricted to the purpose of the relevant regulatory legislation. *NAACP v. FPC*, 425 U.S. 662, 669-71 (1976). Thus, in construing the language “every agreement . . . controlling, regulating, preventing, or destroying competition” in the 1916 Act, the Supreme Court concluded that although an acquisition of assets of one common carrier by another literally fell within the quoted language, the structure and legislative history of the 1916 Act showed that it was not intended to reach agreements between regulated entities that were not on-going in nature. *See FMC v. Seatrain Lines, Inc.*, 411 U.S. 726, 732-36 (1973).

There is nothing in the specific language, structure, or legislative history of the 1984 Act which shows an intention to subject the dispute between Complainants and Sea-Land to our jurisdiction. The “any person” language in section 11 of the 1984 Act relates only to who may bring an action. It is procedural in nature, and does not give the Commission any jurisdiction over a particular subject matter. Such jurisdiction must be found in the substantive provisions of that statute. *See e.g., International Association of NVOCCs v. Atlantic Container Line*, (Order Affirming

Dismissal of Collective Bargaining Associations), 25 S.R.R. 734, 744 (1990); *Cargill, Inc. v. Waterman Steamship Corp.*, 21 S.R.R. 287, 300 (1981).

The language of the substantive provisions of the statute fails to indicate any intention that the Commission assert jurisdiction over the matters here in controversy. The agreement itself is not one subject to our jurisdiction, which reaches only agreements among common carriers and terminal operators, which SLP and Dominicana are conceded not to be. *See* section 4, 1984 Act, 46 U.S.C. app. § 1703. Moreover, there is no indication anywhere, either in the language or the legislative history of the 1984 Act, that activities involving sales representatives, either individually or in their relation with common carriers, were to be regulated. Examination of the structure, language and legislative history of the 1984 Act in fact strongly suggests the contrary.

The 1984 Act lists in section 10 many “prohibited acts,” all of which, to the extent they attempt to define the prohibited conduct, appear to relate to relationships either between regulated entities or between those entities and the shipping public. In fact, it is well established that the primary objective of the shipping laws administered by the Commission is generally to protect the shipping industry’s customers rather than members of the industry. *See Boston Shipping Association v. FMC*, 706 F.2d 1231, 1238 (1st Cir. 1983) (“BSA”); *New York Shipping Association, Inc. v. FMC*, 854 F.2d 1338, 1374 (D.C. Cir. 1988), cert. denied, 488 U.S. 1041 (1989) (“NYSA”). The policy declaration in the 1984 Act, stressing the establishment of “a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs . . .” (section 2(1), 1984 Act, 46 U.S.C. app. § 1701(1)), indicates both a focusing on the transportation function, as opposed to relations between carriers and their sales representatives, and an intention not to intrude unduly into carrier operations. This policy is supported by the legislative history to the 1984 Act. *See, e.g.,* H.R. Rep. 53, Part I, 98th Cong., 1st Sess. 4 (1983): “[T]he entire method of regulation is changed to minimize government involvement in shipping operations. The primary role of the FMC would be to review conduct in order to protect carriers, shippers, and ports from unfair or discriminatory shipping practices.”

Sea-Land Dominica, 26 S.R.R. at 581.

C. Arguments of the Parties

Seaboard asserts that the amended complaint should be dismissed, arguing:

It is well-established that in administering the shipping laws, the Commission’s primary objective is to protect the shipping industry’s customers from unfair or

discriminatory practices. The Commission is not responsible for protecting the interests of the myriad business entities, such as suppliers, shipyards, and sales agents, who have commercial relationships with carriers. Accordingly, as motor carriers, Complainants are not members of the class of persons intended to be protected by the Act. Indeed, there is nothing in the language or the legislative history of the Act or in Commission precedent which supports the proposition that the relationship between a motor carrier and an ocean common carrier is to be regulated by the Commission. To the extent Complainants have a dispute with Respondents, the appropriate forum for resolution of that dispute is a court.

....

Here, like the complainants in *American Union Transport* and *Sea-Land*, complainants are suppliers of services whose complaint is entirely based on a commercial disagreement, i.e., that Seaboard made a business decision to discontinue use of their services and not to pay certain outstanding invoices, decisions made because of what Seaboard believes to be improper conduct on the part of Complainants that is the subject of Seaboard's counterclaim in the state court litigation between the parties. However, regardless of the reasons why Seaboard declined to pay certain of the Complainants' invoices and to end its use of Complainant's trucking services, there is no remedy available to Complainants under the Act to challenge or contest that determination. At most, this is a pure commercial dispute which is not within the jurisdiction of the Commission to entertain. The alleged damages caused to a trucking company are not among the interests the Act was designed to protect, particularly where Complainants have and are pursuing an adequate remedy in an alternative forum, i.e., state court.

Motion at 4-5.

Pro Transport contends that the Commission has jurisdiction over this dispute because the Commission has jurisdiction over the inland portion of international shipments pursuant to through bills of lading. Pro Transport states:

Seaboard would have this body believe that a trucking company such as Pro Transport has no business invoking the jurisdiction of the Federal Maritime Commission ("FMC"). As a trucking company that transports international shipments from domestic ports to destinations within the United States, or to international destinations, Pro Transport is an integral component of international shipping, and thus falls under the provisions of the statutory scheme upon which the FMC was created to regulate and enforce.

Opposition at 3. Pro Transport attaches to the amended complaint composite exhibit 1, which itemizes the 128 invoices that Seaboard has refused to pay, and contends that it would have been

extremely burdensome to attach all 128 invoices to the amended complaint as each one consists of multiple pages. Opposition at 2-3.

Pro Transport attaches to the opposition brief five invoices as examples. Opposition at 2. Summaries were provided, including the following:

Invoice #83980: The “Seaboard Marine Booking Confirmation” for invoice number 83980 shows that the Port of Loading is Miami, Port of Discharge is Rio Haina, Dominican Republic, and the Destination is Rio Haina, Dominican Republic. The Bill of Lading shows the Consignor is Horizon Logistics of Lexington, North Carolina, and the Consignee is Seaboard Marine in Miami, Florida.

Opposition at 4. The sample invoices and attached documents show that Pro Transport provided domestic trucking services for these five shipments, from a domestic location to a domestic port (for example, from Lexington, NC, to the Port of Miami); Seaboard confirmed the bookings; and Pro Transport issued invoices to Seaboard for the transportation.²

D. Discussion

The amended complaint alleges a commercial dispute between domestic trucking company Pro Transport and Seaboard.³

10. Seaboard specifically directed Pro Transport to transport intermodal containers from Seaboard’s marine terminal at the Port of Miami, and other Seaboard or Seaboard affiliated terminals at or near the Port of Jacksonville, Port of Savannah, and Port of Charleston, to various destinations. For Pro Transport’s transportation services, Seaboard was obligated to pay Pro Transport. The statements of account attached hereto as Composite Exhibit 1 reflect that Seaboard owes Pro Transport \$188,005.78, not including interest and other consequential damages.

11. The amounts charged by Pro Transport were based on mutually agreed-upon rates with Seaboard. As shown in Composite Exhibit 1, the invoices are for transportation services provided between July 2, 2015 and February 3, 2016. Payment for each invoice was due within 30 days of its submission by Pro Transport. So, we are looking at Seaboard refusing to pay invoices that are between seven and 14 months overdue.

² See the first four pages of the composite exhibit, which is not numbered.

³ For purposes of this decision only, the Seaboard entities will be treated as a common carrier and/or marine terminal operator, as alleged by Pro Transport. Amended complaint at 1-2.

Amended complaint at 3. Pro Transport seeks a cease and desist order and reparations. Amended complaint at 10.

Pro Transport alleges that it “may well be that Pro Transport is not a common carrier as defined by the Act” but that “would be of no consequence” and also states that because Pro Transport is “involved in the transport of cargo loaded or discharged at a U.S. port that is involved in international maritime commerce, then it may [] very well be a common carrier as defined by the Act.” Opposition at 7-8. Pro Transport cites *Non-Vessel Carriers -- Applicability of Section 15 to Common Carriers by Water -- Status of Express Companies, Truck Lines and Other Non-Vessel Carriers*, which finds:

We conclude that a person or business association may be classified as a common carrier by water who holds himself out by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise, to provide transportation for hire by water in interstate or foreign commerce, as defined in the Shipping Act, 1916; assumes responsibility or has liability imposed by law for the safe transportation of the shipments; and arranges in his own name with underlying water carriers for the performance of such transportation, whether or not owning or controlling the means by which such transportation is effected, is a common carrier by water as defined in the Shipping Act, 1916.

1961 AMC 1024 (F.M.B. 1961). Pro Transport also cites *Transpacific Westbound Rate Agreement v. FMC*, which found that “the definition of common carrier places limits on the Commission’s jurisdiction.” 951 F.2d 950, 954 (9th Cir. 1991). These cases do not support Pro Transport’s argument.

The facts alleged by Pro Transport, however, indicate that it is not a common carrier nor is it an ocean common carrier as those terms are defined in the Shipping Act. A common carrier “holds itself out to the *general public* to provide transportation *by water* of passengers or cargo between the United States *and a foreign country* for compensation.” 46 U.S.C. § 40102(6)(A) (emphasis added). For the transportation at issue, Pro Transport offered and provided inland trucking services to Seaboard. Pro Transport does not allege that it offered services to the general public, provided transportation by water, or transported cargo to a foreign country. Similarly, Pro Transport does not assume responsibility to the general public for the through transportation but rather assumes responsibility to Seaboard for the inland portion of the transportation. While factual allegations are viewed in the light most favorable to the Complainants, the Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not “accept legal conclusions cast in the form of factual allegations.” *Cornell*, 33 S.R.R. at 620-21 (citations omitted) (in part, affirming ALJ’s denial of motion to dismiss for lack of subject matter jurisdiction). The factual allegations do not support Pro Transport’s legal assertion that it is a common carrier as defined by the Shipping Act.

Pro Transport was a supplier under contract to provide trucking services to Seaboard. Any agreement between Pro Transport and Seaboard for domestic trucking services was not reviewable by the Commission. “Suppliers, shipyards, sales agents and a wide variety of business enterprises have commercial relationships with ocean carriers and may have commercial disagreements with them. That does not mean the Federal Maritime Commission is the forum to resolve those disagreements.” *Sea-Land Dominica*, 26 S.R.R. at 584 (concurrence). Not only is there another forum available, but Pro Transport filed a proceeding against Seaboard in Dade County, Florida, on July 27, 2016, shortly after filing this action.

Pro Transport states that the contention that the state court action is the appropriate forum “was already rejected by this body when Seaboard’s Motion for a Stay was decided.” No citation is provided. However, the order denying the stay and requiring the filing of an amended complaint did not rule upon whether or not this set of facts stated a Shipping Act claim. In denying the requested stay, the order states that “[i]rrespective of the outcome of the state court case between the parties, the Commission will have the obligation to determine whether the Shipping Act was violated. Therefore, Respondents have not established that this proceeding should be stayed to await that outcome.” Stay/amend order at 3. The stay/amend order then goes on to find that “the Complaint fails to inform Respondents or the Commission with reasonable definiteness of the acts or practices alleged to be in violation of the Shipping Act” and requires Pro Transport to file an amended complaint. Stay/amend order at 4. The stay/amend order simply noted that the Commission’s jurisdiction is limited to violations of the Shipping Act, and to the extent it commented on the facts presented by Pro Transport, it found that sufficient facts were *not* pled to allege a Shipping Act violation.

Pro Transport’s argument in favor of jurisdiction focuses on whether or not it is an entity entitled to protection by the Commission. Opposition at 5. This focus is misplaced as the issue is not personal jurisdiction but rather whether the Commission has jurisdiction over the subject matter of the dispute. A number of factual allegations in the amended complaint show that the dispute is controlled by the terms of the agreement between Pro Transport and Seaboard, for example:

- “Seaboard specifically directed Pro Transport to transport intermodal containers from Seaboard’s marine terminal[s].” Amended complaint at 3.
- “Seaboard was obligated to pay Pro Transport.” Amended complaint at 3.
- “The amounts charged by Pro Transport were based on mutually agreed-upon rates with Seaboard.” Amended complaint at 3.
- “Seaboard refus[ed] to pay invoices” to Pro Transport. Amended complaint at 3.
- “Seaboard never disputed any of Pro Transport’s invoices.” Amended complaint at 4.

- “Seaboard has simply made a decision to unreasonably refuse payment to Pro Transport.” Amended complaint at 4.
- It “is impossible for Pro Transport to have moved any containers without Seaboard’s direct authorization and approval.” Amended complaint at 4.
- A “Seaboard employee must generate from a computer an interchange ticket which informs the truck driver, and anyone else who would review it, the serial number of the container, the bill of lading number, and its ultimate destination.” Amended complaint at 5.
- “Seaboard directed Pro Transport to move every single container that Pro Transport moved.” Amended complaint at 7.

Pro Transport provides documents showing that at least some of the transportation at issue was the inland portion of through bills of lading which shipped goods by water to or from foreign countries. A through bill of lading covers both the ocean and inland portions of the transport in a single document. *Kawasaki Kisen Kaisha, Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89 (2010) (“*K*” *Line*). At this preliminary stage of the proceeding, Pro Transport’s factual allegations that the cargo at issue was shipped on a through bill of lading is accepted as true. Even though through bills of lading may be subject to the Commission’s jurisdiction, that does not mean that the agreement for the inland portion of the domestic trucking services is also subject to the Commission’s jurisdiction.

The Commission would have jurisdiction over a dispute involving the terms of the through bill of lading issued by an ocean common carrier, even for the domestic part of the journey.

The Court in “*K*” *Line* concluded that transportation under a through bill of lading cannot be divided into two separate moves (ocean and inland), with two different bills of lading applicable. With regard to the application of section 10(a)(1), legislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation, including the inland segment of such transportation. In addition, the Commission has affirmed its jurisdiction over through intermodal movements that include inland transportation.

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, 32 S.R.R. at 142. In “*K*” *Line*, the Supreme Court found that the forum selection provision of a through bill of lading issued abroad by an ocean carrier can apply to the domestic part of the import’s journey by a rail carrier. “*K*” *Line*, 561 U.S. at 94.

In this case, however, the dispute does not involve a provision in a through bill of lading. Rather, the payment dispute involves the terms of an agreement between Pro Transport and Seaboard for domestic trucking services. It is not the terms of the through bill of lading that would determine the outcome, but rather the terms of the agreement for domestic trucking services. The reasons that justified the Supreme Court’s decision in “*K*” *Line* do not apply to this dispute. Although the parties

have not identified a case specifically dealing with domestic trucking services, to find that this agreement and disputes arising under it are subject to the Commission's jurisdiction would appear to be inconsistent with prior Commission decisions recognizing the limits of the Commission's reach. "It is well-settled that the Commission does not have jurisdiction over disputes involving purely domestic transportation services." *AMR Industries, Inc. v. INTLMove, LLC*, Dkt. 1952(I), (SCO Oct. 26, 2015) ("Small Claims Officer Decision Dismissing Complaint").

This initial decision makes no findings about the merits of the dispute between Pro Transport and Seaboard. In addition, Pro Transport indicates concern that "Seaboard may prohibit Pro Transport from entering its marine terminal at the Port of Miami to transport non-Seaboard containers." Amended complaint at 4 n.5. There are no allegations, however, that this has occurred and this initial decision makes no findings as to whether conduct of this nature would constitute a Shipping Act violation. Fear of a future violation is not a sufficient basis to deny the motion to dismiss.

For the reasons stated above, Seaboard's motion to dismiss for lack of subject jurisdiction is granted. Even if the Commission had jurisdiction over the proceeding, however, the amended complaint would still be dismissed because it fails to state a plausible claim under the Shipping Act as described more fully below.

III. Motion to Dismiss for Failure to State a Claim

A. Standard

The Commission explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662,] 129 S. Ct. 1937, 1949 (2009). The complaint must be sufficient to "give the defendant fair notice of what the ... claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui O.S.K. Lines Ltd., 32 S.R.R. at 136.

In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal caselaw interpreting it . . . [C]ourts will dismiss a claim if the plaintiff's complaint fails to plead 'enough facts to state a claim for relief that is plausible on its face.' Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, '[w]hile a complaint need not plead 'detailed factual allegations,' the factual allegations it does include 'must be enough to raise a right to relief above the speculative' and to 'nudge . . . claims across the line from conceivable to plausible.' This 'plausibility standard is not akin to probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. Where a complaint pleads facts that are merely consistent with a defendant's liability, it stops short of the line between possibility and plausibility of entitlement to relief.'

Cornell, 33 S.R.R. at 620 (internal citations omitted).

In applying the standard, the Commission must accept as true all factual allegations and construe them in the light most favorable to the complainant. *Cornell*, 33 S.R.R. at 620-21; *Ralls Corp. v. Comm. on Foreign Investment in the U.S.*, 758 F.3d 296, 314-15 (D.C. Cir. 2014); *De Csepel v. Rep. of Hungary*, 714 F.3d 591, 597 (D.C. Cir. 2013). Similarly, the Commission draws all reasonable inferences from the allegations in the complainant's favor. *Cornell*, 33 S.R.R. at 620, *Ralls*, 758 F.3d at 314-15; *De Csepel*, 714 F.3d at 597. But the Commission need not accept as true legal conclusions or draw inferences that are not supported by the allegations. *Cornell*, 33 S.R.R. at 621; *see also Iqbal*, 556 U.S. at 678; *Ralls*, 758 F.3d at 315.

Maier Terminals, 34 S.R.R. at 58.

The factual allegations needed to reach plausibility will vary depending on the complexity of the case, "both to give the opposing party notice of what the case is all about and to show how, in the plaintiff's mind, the dots should be connected." *Swanson v. Citibank, N.A.*, 614 F.3d 400, 405 (7th Cir. 2010). "Determining whether a complaint states a plausible claim for relief will . . . be a context-specific task that requires the reviewing court to draw on its judicial experience and common sense." *Iqbal*, 556 U.S. at 679.

Maier Terminals, 34 S.R.R. at 58.

"A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do." *Iqbal*, 129 S. Ct. at 1949 (quoting *Twombly*, 550 U.S. at 555). "When there are well-pleaded factual allegations, a court should assume their veracity and then determine

whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 129 S. Ct. at 1950. The Commission explained:

Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not “accept legal conclusions cast in the form of factual allegations.”

Cornell, 33 S.R.R. at 620-21 (citations omitted).

As explained more fully below, Pro Transport’s amended complaint does not meet the *Iqbal/Twombly* pleading standard. The amended complaint fails to plead claims which are facially plausible and fails to give fair notice of the claims and grounds.

B. Arguments of the Parties

Respondents assert that in addition to a lack of subject matter jurisdiction over the amended complaint generally, there are separate grounds which warrant dismissal of the specific claims made in the amended complaint – that the amended complaint fails to state a claim upon which relief may be granted. Motion at 6. Complainants contend that the amended complaint surpasses the threshold pleading requirements. Opposition at 7. Each of the six alleged violations will be addressed in turn.

C. Discussion

1. Agreement with Another Marine Terminal Operator or Common Carrier to Unreasonably Discriminate, 46 U.S.C. § 41106(1)

46 U.S.C. § 41106(1) provides that a marine terminal operator may not “[a]gree with another marine terminal operator or with a common carrier to boycott, or unreasonably discriminate in the provision of terminal services to, a common carrier or ocean tramp.” 46 U.S.C. § 41106(1).

Seaboard asserts that:

As is evident from the plain language of §41106(1) emphasized above, this statutory prohibition applies only to conduct directed at a common carrier or ocean tramp.

Complainants are neither common carriers nor ocean tramps. Complainants are motor carriers. Complaint, 11. They do not claim to hold themselves out to provide transportation by water of passengers or cargo between the United States and a foreign country by means of a vessel operating on the high seas between a port in the United States and a port in a foreign country. Accordingly, they are not common

carriers within the meaning of the Act. See, 46 U.S.C. §40102(6). Similarly, they are not ocean tramps in that they do not operate vessels in the foreign commerce of the United States.

Moreover, the conduct which is the subject of the Complaint (non-payment for inland transportation of containers) has nothing to do with the provision of terminal services, which are defined to include services such as checking, dockage, free time, handling, heavy lift, loading and unloading, terminal storage, usage, wharfage and wharf demurrage. See 46 C.F.R. §535.309(a). Since §41106(1) relates only to the provision of marine terminal services, the conduct which is the subject of the Complaint also falls outside the scope of this statutory provision.

In light of the fact that Complainants are not entities of a type protected by §41106(1), and that the conduct which is the subject of the Complaint also falls outside of scope of §41106(1), Complainants have failed to state a claim for which relief may be granted under that section. Therefore, Complainants claims under §41106(1) must be dismissed.

Motion at 6-7 (footnotes omitted).

Pro Transport states that it withdraws allegations that Seaboard violated 46 U.S.C. § 41106(1). Opposition at 9 n.13. Pro Transport does not sufficiently explain how Seaboard boycotted or unreasonably discriminated against Pro Transport; there are no allegations that Seaboard has an agreement with any other entity; there are no facts suggesting that Seaboard was legally obligated to continue its business relationship with Pro Transport; and Pro Transport has withdrawn the allegation. Accordingly, this alleged violation is dismissed.

2. Undue or Unreasonable Preferences or Prejudices, 46 U.S.C. § 41106(2)

Pursuant to section 41106(2) of the Shipping Act, a “marine terminal operator may not give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person.” 46 U.S.C. § 41106(2) (formerly Shipping Act § 10(d)(4) (formerly §§ 10(b)(11) & 10(b)(12))).

In *Ceres*, the Commission established four elements of an unreasonable preference or advantage or unreasonable prejudice or disadvantage claim:

In order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury.

Ceres Marine Term., Inc. v. Maryland Port Admin., 27 S.R.R. 1251, 1270 (FMC 1997), *aff'd in part, rev'd in part on other grounds sub nom. Maryland Port Admin. v. Federal Maritime Commission*, 164 F.3d 624 (4th Cir. Oct. 13, 1998) (Table) (footnote omitted) (citing *Distribution Services, Ltd. v. Trans-Pacific Freight Conf. of Japan*, 24 S.R.R. 714, 720 (FMC 1988)). Mere differences in treatment alone, however, do not violate the Shipping Act. See *Petchem, Inc. v. Federal Maritime Commission*, 853 F.2d 958, 963 (D.C. Cir. 1988) ("The Act clearly contemplates the existence of permissible preferences or prejudices."). Therefore, only "undue or unreasonable preferences and prejudices would be violative of the Prohibited Acts." *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886, 900 (FMC 1993) (emphasis in original).

Seaboard asserts that the amended complaint "does not identify any person or persons similarly situated to or in competition with Complainants that have been accorded different treatment by Respondents. Accordingly, the Complaint fails to allege facts necessary to a showing of a violation of Section 41106(2) and must be dismissed." Motion at 8.

Pro Transport generally objects to Seaboard's motion, without specifically addressing each argument. Pro Transport asserts that "there is a dearth of case law on these statutes" and only two reported decisions under Section 41106.⁴ Opposition at 10. Pro Transport argues that this is a matter of simple statutory interpretation and states:

The fact is that the FMC may not have previously been asked to assess violations of the Act by a company such as Pro Transport against a company such as Seaboard. The statutory language is straightforward. A marine terminal operator may not give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person And a common carrier, either alone or in conjunction with any other person, directly or indirectly, may not unreasonably refuse to deal or negotiate. These are broad terms, but they are not ambiguous. Pro Transport alleges that Seaboard's refusal to pay, and that manner and method in which it has refused to pay, is unreasonable and prejudicial.

Opposition at 11. Pro Transport also states that "Seaboard has simply made a decision to unreasonably refuse payment to Pro Transport which smacks of undue and unreasonable prejudice." Amended complaint at 4. Pro Transport provides detailed factual allegations regarding Seaboard's alleged "managerial incompetence" in the "efficient movement of containers for optimal use by Seaboard" resulting, for example, in a glut of containers at Jacksonville. Amended complaint at 4.

Pro Transport does not plead facts presenting a plausible argument that Seaboard acted with unreasonable preference or prejudice. Specifically, Pro Transport has not alleged that there is another party which is similarly situated; that such parties were accorded different treatment; that any unequal treatment is not justified by differences in transportation factors; and, that any prejudice

⁴ Complainant indicates trouble finding cases on Westlaw.

or disadvantage is the proximate cause of injury. Indeed, despite the *Ceres* factors being cited and quoted in the motion to dismiss and being discussed in the *Maier* case cited by Pro Transport, the opposition fails to mention them. Motion at 7-8; Opposition at 5-6 (citing *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 2015 WL 9426189 (FMC Dec. 18, 2015)).⁵ Accepting the facts asserted by Pro Transport as true, Pro Transport and Seaboard had a commercial disagreement regarding payment of invoices resulting in Seaboard ending its professional relationship with Pro Transport. The facts alleged do not plausibly support Pro Transport's legal conclusion that Seaboard's refusal to pay was unreasonable and prejudicial. Accordingly, the amended complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, this alleged violation is dismissed.

3. Unreasonable Refusal to Deal, 46 U.S.C. §§ 41106(3), 41104(10)

Section 41106(3) of the Shipping Act states that a marine terminal operator may not "unreasonably refuse to deal or negotiate" and section 41104(10) states that a common carrier may not "unreasonably refuse to deal or negotiate." 46 U.S.C. § 41106(3) (Shipping Act §§ 10(b)(10) and 10(d)(3)); 46 U.S.C. § 41104(10). "This requires a two-part inquiry: whether [respondent] refused to deal or negotiate, and, if so, whether its refusal was unreasonable." *Canaveral Port Auth.*, 29 S.R.R. 1436, 1448 (FMC 2003). The Commission has held that a port authority's refusal to consider a proposal constitutes a refusal to deal or negotiate. *Canaveral Port Auth.*, 29 S.R.R. at 1448. With respect to a port authority, "in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration of an entity's efforts at negotiation." *Canaveral Port Auth.*, 29 S.R.R. at 1450. A refusal is not unreasonable where it is "justified by particular circumstances in effect." *Docking and Lease Agreement*, 30 S.R.R. at 379. Moreover, the Commission may defer to a port's reasonable, discretionary business decisions regarding negotiations. *Seacon Terminals*, 26 S.R.R. at 899.

In *Cornell v. Princess Cruise Line*, the Complainant purchased two pieces of art on a Carnival cruise, a dispute arose over the purchases, and a lawsuit and settlement followed. 33 S.R.R. at 617. At some point after the settlement, Cornell attempted to book a cruise on Princess, a subsidiary of Carnival Corp., but could not successfully book a cruise. Cornell filed a proceeding at the Commission, in part arguing a refusal to deal. The Commission found:

Based on these allegations, it appears that a dispute arose between contractual parties. The disputes were litigated twice in courts before arriving at the Commission. One party, Princess, made the decision not to engage in any more transactions with a party who had filed what appeared to be a baseless claim against its related company. Contrary to the Complainants' allegations that Respondents have acted unreasonably in refusing to negotiate or deal, we believe the facts of the case demonstrate that

⁵ The Commission currently utilizes Lexis, not Westlaw, but it appears that this is the Commission's December 18, 2015, decision in Docket 12-02 and found at 2015 FMC Lexis 43 and 34 S.R.R. 35.

Respondents acted reasonably. As the Commission has noted when addressing the obligation of Marine Terminal Operators to negotiate and deal reasonably, “[the] Commission [has] recognized that it is proper to give deference to a port’s discretionary business decisions.” *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886, 899 (FMC 1993) (citing *Petchem, Inc. v. Canaveral Port Authority*, 23 S.R.R. 974 (1986), *aff’d* 853 F.2d 958 (D.C. Cir. 1988)).

The allegations in the Amended Complaint indicate that the refusal to book cruise passages is related to previous litigation conduct of the Complainants. On the face of the Amended Complaint, Princess appears to have made the business decision to limit any future interactions with the Complainants. If passenger vessel operators had a statutory duty to negotiate individually every dispute to the mutual satisfaction of every cruise passenger or risk administrative complaints before the Commission, the Commission could expect all manner of claims -- from those who think the ticket price is too high, to those who are disappointed with amenities or dining experiences, to those who are just plain disappointed. The ALJ erred in denying the Respondents’ motion to dismiss the section 10(b)(10) complaint for failure to state a claim, and the Commission reverses that portion of the Initial Summary Decision.

Cornell, 33 S.R.R. at 622.

In their motion to dismiss, Seaboard asserts:

These provisions each make it unlawful for an ocean common carrier or marine terminal operator to “unreasonably refuse to deal or negotiate.” As noted in Section II.B above, the primary purpose of the Act’s so-called “prohibited acts” is to protect the shipping public and other regulated entities. Since the common carrier obligations of an ocean common carrier involve the holding out of and provision of service to the shipping public, the prohibition against an ocean common carrier engaging in an unreasonable refusal to deal must be read as a prohibition against unreasonably refusing to deal with shippers. Since marine terminal operators provide services to ocean common carriers, the prohibition against a marine terminal operator engaging in an unreasonable refusal to deal must be read as a prohibition against unreasonably refusing to deal with ocean common carriers.

In short, Complainants (as motor carriers) do not fall within the class of persons protected by either section 41106(3) or section 41104(10) of the Act. Accordingly, they have failed to state a claim upon which relief may be granted and the Complaint must be dismissed.

Even assuming *arguendo* that sections 41106(3) and/or 41104(10) protect Complainants, there has been no unreasonable refusal to deal in this case. There is no written contract between Complainants and Seaboard. Hence, Seaboard was free

to terminate Complainants' services at any time and for any reason. Given Seaboard's unfettered right to terminate Complainants' services, the fact that Seaboard has chosen to exercise that right cannot be considered unreasonable within the meaning of the Act.

Accordingly, Complainants have failed to state a claim upon which relief may be granted under Sections 41106(3) and 41104(10).

Motion at 9-10.

Pro Transport states that "Under section 41104, there are only two reported decisions, one dealing with loyalty contracts, the other with tariffs and fees." Opposition at 10. Pro Transport argues:

The fact is that the FMC may not have previously been asked to assess violations of the Act by a company such as Pro Transport against a company such as Seaboard. The statutory language is straightforward. A marine terminal operator may not . . . unreasonably refuse to deal or negotiate. And a common carrier, either alone or in conjunction with any other person, directly or indirectly, may not unreasonably refuse to deal or negotiate.

Opposition at 11.

Seaboard contends in their reply brief:

Even assuming *arguendo* that the Commission has jurisdiction in this matter and that sections 41106(3) and/or 41104(10) protect Complainants, there has been no unreasonable refusal to deal in this case. There is no written contract between Complainants and Seaboard. Hence, Seaboard was free to terminate Complainants' services at any time and for any reason. Given Seaboard's unfettered right to terminate Complainants' services, the fact that Seaboard has chosen to exercise that right cannot be considered unreasonable within the meaning of the Act.

Reply at 5.

The mere fact of a refusal to deal does not necessarily mean that the refusal was unreasonable. The Shipping Act does not require "that all interested parties get the same deal." *Ceres*, 29 S.R.R. at 369. Pro Transport has not pled sufficient facts to plausibly suggest that there was a refusal to deal and to plausibly suggest that such a refusal was unreasonable. Accepting the facts asserted by Pro Transport as true, Seaboard stopped utilizing Pro Transport's services after a billing dispute arose and did not communicate sufficiently about the billing dispute. A refusal to deal allegation requires more than that a request is denied. Moreover, the facts alleged are consistent with lawful behavior and do not plausibly suggest that Seaboard's conduct was unreasonable. Pro

Transport's conclusory legal statements, such as "unreasonably," provide no factual support of its allegations that Seaboard's conduct violated the Shipping Act. Accordingly, the amended complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, these alleged violations are dismissed.

4. Service Pursuant to Service Contract, 46 U.S.C. §§ 41104(5), 41104(9)

Seaboard asserts:

Both §§41104(5) and 41104(9), by their terms, apply only to "service pursuant to a service contract." A service contract is a contract between one or more shippers on the one hand and an individual ocean common carrier or agreement between or among ocean common carriers on the other hand. 46 U.S.C. §40102(20). Complainants are motor carriers and are not "shippers" within the meaning of the Shipping Act. See, 46 U.S.C. §40102(22). Moreover, Complainants do not allege that they were party to any service contract with either of Respondents. Hence, none of the allegations in the Complaint involve "service pursuant to a service contract."

In light of the foregoing, Complainants have failed to state a claim for which relief may be granted under 46 U.S.C. §§41104(5) and 41104(9) and their claims under those provisions of the Act must be dismissed.

Motion at 8.

Pro Transport states that it withdraws the allegations that Seaboard violated 46 U.S.C. §§ 41104(5) and 41104(9). Opposition at 10 n.14. There are no allegations that the transportation involved service contracts as required by this section of the Shipping Act and Pro Transport has withdrawn the allegations. Accordingly, these alleged violations are dismissed.

D. Conclusion

As discussed above, Seaboard's motion to dismiss is granted. Pro Transport has already been provided an opportunity to file an amended complaint and has not asked for another opportunity to do so. Indeed, given the factual allegations in the amended complaint, it does not appear that there are any sections of the Shipping Act which would govern this payment dispute over inland transportation provided by a trucking company. Given the findings above, the amended complaint will be dismissed with prejudice.

IV. Order

For the above-stated reasons, it is hereby **ORDERED** that the request for oral argument be **DENIED**; that the motion to dismiss filed by the Respondents be **GRANTED**; and, that the claims against Respondents be **DISMISSED WITH PREJUDICE**. Any other pending motions are hereby **DISMISSED AS MOOT**.



Erin M. Wirth
Administrative Law Judge